

BAHAMA GROUP
ACCOUNTS PAYABLE GUIDE
How to Journalize Expenses (VAT & EWT Application)
Prepared by: Accounting Manager

I. CORE RULES BEFORE JOURNALIZING

Before recording any expense, always determine:

1. Is the supplier VAT Registered?
→ Check BIR 2303
2. Is the expense subject to EWT?
→ Confirm tax rate
3. Is payment already made or still payable?
4. Is VAT inclusive or exclusive in the invoice?

II. IMPORTANT FORMULAS

A. If VAT Exclusive:

$$\text{VAT} = \text{Amount} \times 12\%$$

B. If VAT Inclusive:

$$\text{Net Amount} = \text{Total} \div 1.12$$

$$\text{VAT} = \text{Total} - \text{Net Amount}$$

C. EWT Computation:

$$\text{EWT} = \text{Net Amount} \times \text{Applicable Rate}$$

 EWT is always based on NET OF VAT.

III. JOURNAL ENTRY FORMAT GUIDE

If VAT Registered + Withholding Tax:

Dr Expense (Net Amount)

Dr Input VAT

Cr EWT Payable

Cr Cash / Accounts Payable

If VAT Registered + No Withholding:

Dr Expense
Dr Input VAT
Cr Cash / Accounts Payable

If NON-VAT Supplier:

Dr Expense (Total Amount)
Cr Cash / Accounts Payable

(No Input VAT)

IV. SPECIFIC EXPENSE GUIDES

1. RENTAL

Example:

Rent ₱50,000 + VAT
EWT 5%

VAT = 6,000
 $EWT = 50,000 \times 5\% = 2,500$

Journal Entry (Paid):

Dr Rent Expense — 50,000
Dr Input VAT — 6,000
Cr EWT Payable — 2,500
Cr Cash — 53,500

If NON-VAT Rental (₱50,000 only):

Dr Rent Expense — 50,000
Cr Cash — 50,000

2. MERALCO (Electricity)

Usually VAT Registered, no EWT.

Example: ₱11,200 VAT inclusive

Net = 10,000
VAT = 1,200

Dr Utilities Expense — 10,000
Dr Input VAT — 1,200
Cr Cash / AP — 11,200

3. WATER

If VAT Registered:

Apply VAT computation.

If NON-VAT (₱5,000):

Dr Utilities Expense — 5,000

Cr Cash — 5,000

4. PLDT / SMART (Telco)

Example ₱6,720 VAT inclusive

Net = 6,000

VAT = 720

Dr Communication Expense — 6,000

Dr Input VAT — 720

Cr Cash / AP — 6,720

Usually no EWT for utilities.

5. PROFESSIONAL FEES

Example ₱20,000 + VAT

EWT 10%

VAT = 2,400

EWT = 20,000 × 10% = 2,000

Dr Professional Fee Expense — 20,000

Dr Input VAT — 2,400

Cr EWT Payable — 2,000

Cr Cash / AP — 20,400

If NON-VAT Professional (₱20,000 only):

EWT = 20,000 × 10% = 2,000

Dr Professional Fee Expense — 20,000

Cr EWT Payable — 2,000

Cr Cash — 18,000

6. OFFICE SUPPLIES

Example ₱12,000 + VAT

Dr Office Supplies — 12,000
Dr Input VAT — 1,440
Cr Cash / AP — 13,440

If supplies are stocked first:

Dr Office Supplies Inventory
Dr Input VAT
Cr Cash / AP

When issued for use:

Dr Office Supplies Expense
Cr Office Supplies Inventory

7. MATERIALS / PPE / WIP

A. Materials Purchase

₱40,000 + VAT

Dr Materials Inventory — 40,000
Dr Input VAT — 4,800
Cr Accounts Payable — 44,800

When issued:

Dr Work in Process — 25,000
Cr Materials Inventory — 25,000

B. Equipment (PPE)

₱100,000 + VAT

Dr Equipment — 100,000
Dr Input VAT — 12,000
Cr Cash / AP — 112,000

8. PETTY CASH

Establishment

Dr Petty Cash — 10,000
Cr Cash — 10,000

Replenishment Example

Transportation — 2,000
Supplies — 1,500 + VAT
Fuel — 1,000 + VAT

Compute VAT properly.

Dr Transportation Expense
Dr Office Supplies Expense
Dr Fuel Expense
Dr Input VAT
Cr Cash — (Total replenishment)

9. FUEL PURCHASE

₱5,600 VAT inclusive

Net = 5,000
VAT = 600

Dr Fuel Expense — 5,000
Dr Input VAT — 600
Cr Cash — 5,600

10. CASH ADVANCES

Release:

Dr Advances to Employees — 5,000
Cr Cash — 5,000

Liquidation:

Dr Expense
Dr Input VAT (if VATable)
Cr Advances to Employees

If excess returned:

Dr Cash
Cr Advances to Employees

V. COMMON MISTAKES TO AVOID

- ✗ Including VAT in EWT computation
- ✗ Recording Input VAT for NON-VAT suppliers

- ✗ Forgetting to record EWT Payable
- ✗ Charging PPE to expense directly
- ✗ Not separating inventory and expense

VI. FINAL CHECKLIST BEFORE POSTING

- ✓ VAT status verified
- ✓ EWT rate confirmed
- ✓ VAT computation correct
- ✓ EWT based on net
- ✓ Proper account title used
- ✓ Documents attached

If unsure → escalate to Accounting Manager.